

September 3, 2026 02:40 AM GMT

Broadcom Inc. | North America

Earnings solid; raising FY 28 EPS

WHAT'S CHANGED		
Broadcom Inc. (AVGO.O)	From	To
Price Target	\$502.00	\$505.00

AlphaSignals Earnings Reaction		
Unchanged	↑ Modest upside	↑ Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

AVGO near term numbers were slightly better than our estimates, and 2027 commentary tracks, but even a conservative take on CY28 vs. commentary brings up our CY28. Reiterate OW,

Key Takeaways

- Qtr and outlook slightly better than prior guidance
- 2027 AI commentary of \$115 bn slightly below our \$120, in line with prior "well above \$100 bn"; 2028 "will double again"
- Customer breadth is a positive, with two AI labs as the largest two customers for CY28
- We continue to haircut CY28 as we simply don't think semiconductor companies visibility can extend that far out, but our numbers still move up considerably
- Expectations aside, clearly very strong performance and visibility at a very reasonable multiple. #s, PT higher, stay OW the stock.

We highlighted in our preview some expectations issues that my limit near term upside, but the results are impressive. 2h AI revenues will more than triple vs. last year, and comments that revenues will double next year are not surprising (it's in line with our forecast) and again in CY28 (which the company had discussed intra quarter). Given the size and scale of the business, we find those numbers to be remarkable.

That said, we have consistently highlighted some expectations challenges. Specifically, some buy side and sell side bulls have pointed to \$150 bn + in revenue potential for next year, based on inflated \$ per GW expectations on the 10 GW forecast. Management in our view has been consistently pointing to lower numbers, saying only "materially above \$100 bn", and the more specific 27 guidance which is now \$115 bn. Those expectations have in turn driven angst about market share within the TPU ecosystem.

But we don't need those higher numbers to paint a very positive picture, for a relatively inexpensive stock. Commentary about 2 new architectures ramping is basically consistent with a quarter ago, but we see that as a significant positive, as

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Broadcom Inc. (AVGO.O, AVGO US)				
Semiconductors United States of America				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	\$505.00			
Shr price, close (Sep 2, 2026)	\$367.24			
Mkt cap, curr (mm)	\$1,794,702			
52-Week Range	\$495.00-287.17			
Fiscal Year Ending	10/25	10/26e	10/27e	10/28e
ModelWare EPS (\$)	5.39	10.09	16.70	24.09
P/E	68.6	36.4	22.0	15.2
EPS (\$)**	6.82	11.66	18.27	25.74
EPS (\$)§	6.67	11.56	19.33	25.86
Div yld (%)	0.7	0.7	0.8	0.8
Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework				
** = Based on consensus methodology				
§ = Consensus data is provided by Refinitiv Estimates				
e = Morgan Stanley Research estimates				

QUARTERLY EPS (\$)					
Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	1.60	-	2.05a	4.14	4.11
Q2	1.58	-	2.44a	4.28	4.35
Q3	1.69	-	3.32a	4.72	4.74
Q4	1.95	3.85	3.85	5.14	5.07

e = Morgan Stanley Research estimates, a = Actual Company reported data

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initial production of new architectures carries some uncertainty; they have 6 XPU customers, 4 of which are very large, and broadening beyond TPU should make investors feel better about share shifts within TPU. We are also very positive about TPU, given the strong incumbency and supply chain challenges for smaller alternatives.

Networking remains strong, and no news is good news on the gross margin front.

Gross margin percentages will have some memory pressures, but the company's characterization of "semis gross margins on the XPU, but lower pass through margins on the high bandwidth memory" is a helpful construct - higher memory prices bring percentages down, but drive gross profit dollars marginally higher

We expect strong growth to continue for both ASICs and GPUs, and we wouldn't jump to conclusions from supply constrained near term numbers.

ASIC has outgrown in the last 12 months, but the two year growth rate for NVIDIA data center, AMD GPU, and AVGO ASIC all up are about 3x. In the next 12 months, we expect that growth will be more driven by supply chain considerations than anything else. We do think that the most desired product in that window will be NVIDIA's Vera Rubin, that ramp can't come close to satisfying all of end demand, and Blackwell and products comparable to Blackwell will do very well. But we continue to think that some of the ASIC narrative is overly optimistic, particularly the view that cloud vendors can resell those ASICs - which do not have a cost per token advantage vs. Rubin - for a markup to other hyperscale customers. But we do expect AVGO to continue to post remarkable growth.

Details on the quarter: Revenue of \$29.591bn (up 33.4% q/q and 64.3% y/y), ahead of the Street at \$29.241bn and our estimate of \$29.404bn. On a segment basis, Semiconductor Solutions revenue was \$20.839bn (up 38.8% q/q and 127.4% y/y) and Infrastructure Software was \$8.752bn (up 21.9% q/q and up 29.0% y/y). Gross margin of 75.0% was ahead of the Street at 73.5% and our estimate of 74.0%. Non-GAAP EPS of \$3.32 was ahead of the Street at \$3.22 and our estimate of \$3.24.

Changes to estimates: The company guided next quarter revenue to \$34.8bn, ahead of the Street at \$34.657bn and our estimate of \$34.844bn. For FY26, we are modeling revenue/non-GAAP GM/EPS of \$106bn/75.1%/\$11.66 vs. our prior \$106bn/74.8%/\$11.59, and we are modeling FY27 to \$167.9bn/70.7%/\$18.27 from \$167.4bn/70.8%/\$18.28, keeping top-line broadly unchanged until FY28 where our revenues come up to \$248bn vs \$214bn prior.

Thoughts on the stock: The wide range of expectations does create some nearer term uncertainty, as we have a combination of some expectations for CY27 AI which have been too high, but also market share expectations which in our view are too low. The latter will prove out over time, and while we do expect some competition, our views that AVGO can drive 80%+ market share of their SAMs over time are backed by our industry contacts.

Valuation remains compelling, growth remains very robust; we like the stock.

With a slight upward revision to estimates, using the same multiple of 28x MW (~26x non-gapp) EPS brings our PT up from \$502 to \$505. 28x is a discount to most

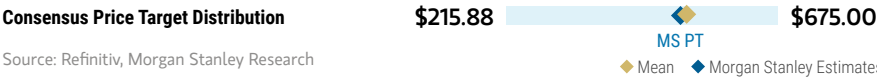
of the AI exposed semis in our coverage even after the correction, and AVGO along with NVDA continue to look like the most attractively valued names.

Risk Reward – Broadcom Inc. (AVGO.O)

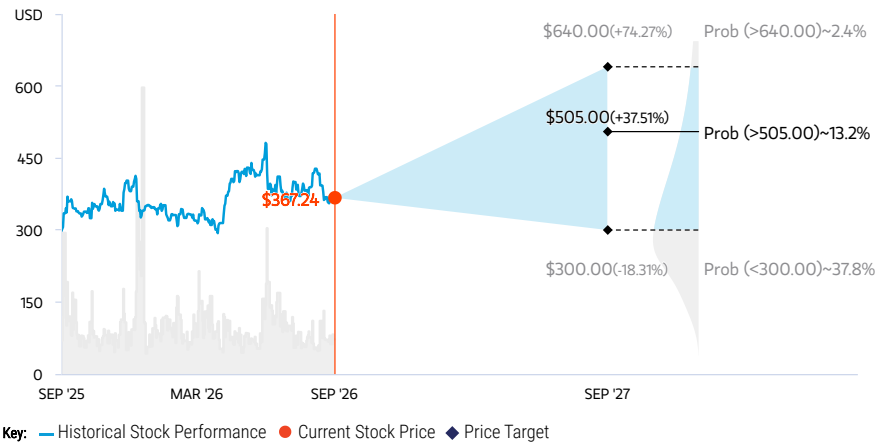
Overweight on growth in AI, recovery in core semis, and potential VMW upside.

PRICE TARGET \$505.00

We value AVGO at 28X CY2027e ModelWare EPS of \$18.04. This is roughly 26x non-GAAP EPS of \$19.63, which is broadly in-line or below their AI peer group.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

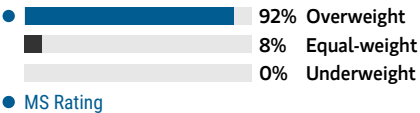


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 2 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- AVGO has the second largest AI exposure (in absolute dollars) in our coverage and is poised to grow as hyperscale capex increases. We see the company maintaining their premium multiple as networking and ASIC businesses continue to grow.
- We expect non-AI semis to have a cyclical rebound late next year after a period of high excess inventory in the networking and storage markets.
- We expect VMware to successfully integrate into the portfolio and focus operations, cut costs, and drive stable cash flows.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Pricing Power: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$640.00

~31X 2027e ModelWare Bull EPS of \$20.68
Revenue growth surprises to the upside and AI revenues grow from ramp of new xPU customers, continued networking strength, and VMware synergies. The stock's valuation multiple expands as investors gain confidence in its AI and M&A strategy.

BASE CASE \$505.00

28X 2027e ModelWare Base EPS of \$18.04
Posts strong revenue growth in CY27 driven by strong AI revenues from xPU and Networking, and software growth.

BEAR CASE \$300.00

~19X 2027e ModelWare Bear EPS of \$15.50
Revenue growth disappoints and synergies underwhelm. New customer engagements fail to reach production The stock's valuation multiple falls to 19X

Risk Reward – Broadcom Inc. (AVGO.O)

KEY EARNINGS INPUTS

Drivers	Oct 2025	Oct 2026e	Oct 2027e	Oct 2028e
GAAP Revenue (\$, mm)	63,887	105,911	167,872	248,527
MW Gross Margin (%)	77.3	74.3	70.2	67.4
MW EPS (\$)	5.39	10.09	16.70	24.09
Inventory (\$, mm)	2,270	5,700	10,584	17,630
DOI	57.2	76.4	77.2	79.5

INVESTMENT DRIVERS

- Dominant position in the data center with merchant silicon and ASICs
- Increasing adoption of carrier aggregation, antenna filtering in RF and 5G adoption

GLOBAL REVENUE EXPOSURE



- 10-20% Europe ex UK
- 20-30% Mainland China
- 20-30% North America
- 40-50% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger AI revenues
- Faster recovery in core semis businesses
- Realized VMware synergies

RISKS TO DOWNSIDE

- Lose networking share to Nvidia (Mellanox)
- ASIC chips are uncompetitive; lose customers to competitors
- Execution on VMware acquisition

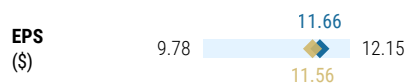
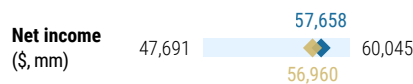
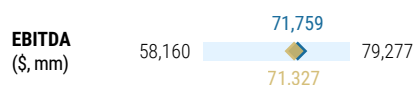
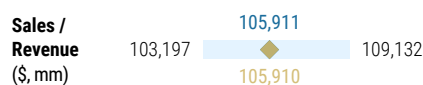
OWNERSHIP POSITIONING

Inst. Owners, % Active	53.7%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	33.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Oct 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Income Statement Summary

AVGO: Snapshot for the quarter ended July 2026

Income Statement							
Qtr Results:	Actual	Last Qtr	QoQ	Lst Yr	YoY	Consensus	MSe
Revenue	\$29,591	\$22,187.0	33.4%	\$18,015.0	64.3%	\$29,240.9	\$29,404.2
Gross Margin	75.0%	77.1%	-212 bps	78.4%	-336 bps	73.5%	74.0%
EPS **	\$3.32	\$2.44	\$0.88	\$1.69	\$1.63	\$3.22	\$3.24
Next Qtr Outlook:	Low	High	Midpoint				
Revenue	\$34,800	\$34,800	\$34,800	17.6%	\$18,015.0	93.2%	\$34,657.1
							\$34,844.3

Source: Company data, FactSet, Morgan Stanley Research estimates

Exhibit 2: Income Statement Variance

Non-GAAP financials, \$ in Millions except per share

	Reported FQ326	MS Est FQ326	Difference Act. vs. Est.	Per share Difference
Total Revenue	29,591.0	29,404.2	186.8	0.04
Cost of Sales	7,400.0	7,652.6	(252.6)	0.05
Gross Profit	22,191.0	21,751.6	439.4	0.09
Gross Margin	75.0%	74.0%	1.0%	
R&D	1,551.0	1,516.0	35.0	NM
SG&A	545.0	555.1	(10.1)	NM
Other Opex (inc)	0.0	0.0	0.0	NM
Total Op Expenses	2,096.0	2,071.2	24.8	0.00
Operating Income	20,095.0	19,680.4	414.6	0.08
Operating Margin	67.9%	66.9%	1.0%	
Income tax provision	3,118.0	3,048.5	69.5	(0.01)
Net Income	16,372.0	16,004.9	367.1	0.07
EPS	\$3.32	\$3.24	\$0.08	0.08
Diluted Shares Out.	4,937.0	4,942.0	(5.0)	

Source: Company data, Morgan Stanley Research estimates

Projected Financial Statements

Exhibit 3: Broadcom: Projected Income Statement

Broadcom Inc. Income Statement (\$ BROADCOM October)	2025/1F	2025/2F	2025/3F	2025/4F	2026/1F	2026/2F	2026/3F	2026/4F	2027/1F	2027/2F	2027/3F	2027/4F	2028/1F	2028/2F	2028/3F	2028/4F	2024FY	2025FY	2026FY	2027FY	2028FY
	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	Apr-26	Jul-26	Oct-26	Jan-27	Apr-27	Jul-27	Oct-27	Jan-28	Apr-28	Jul-28	Oct-28	2024FYA	2025FYA	2026FYA	2027FYA	2028FYA
	1FQ2025A	2FQ2025A	3FQ2025A	4FQ2025A	1FQ2026A	2FQ2026A	3FQ2026A	4FQ2026A	1FQ2027E	2FQ2027E	3FQ2027E	4FQ2027E	1FQ2028E	2FQ2028E	3FQ2028E	4FQ2028E					
Revenues	\$ 14,916.0	\$ 15,004.0	\$ 15,952.0	\$ 18,015.0	\$ 19,311.0	\$ 22,187.0	\$ 29,591.0	\$ 34,822.5	\$ 37,293.5	\$ 39,983.3	\$ 43,650.8	\$ 46,944.6	\$ 51,995.9	\$ 58,148.8	\$ 65,500.1	\$ 72,881.8	\$ 51,574.0	\$ 63,887.0	\$ 105,911.5	\$ 167,872.2	\$ 248,526.6
Q/Q Change	6.1%	0.6%	6.3%	12.9%	7.2%	14.9%	33.4%	17.7%	7.1%	7.2%	9.2%	7.5%	10.8%	11.8%	12.6%	11.3%					
Y-o-Y change	24.7%	20.2%	22.0%	28.2%	29.5%	47.9%	85.5%	93.3%	93.1%	80.2%	47.5%	34.8%	39.4%	45.4%	50.1%	55.3%	44.0%	23.9%	65.6%	58.5%	48.0%
COGS - GAAP	4,771.0	4,807.0	5,249.0	5,766.0	6,154.0	6,772.0	9,135.0	11,144.7	12,171.5	13,304.3	14,686.4	15,925.4	18,183.8	20,348.3	22,930.4	25,521.7	19,065.0	20,593.0	33,205.7	56,087.6	86,984.2
One-time Items	1,498.0	1,511.0	1,545.0	1,553.0	1,475.0	1,471.0	1,511.0	1,511.0	1,511.0	1,511.0	1,511.0	1,511.0	1,511.0	1,511.0	1,511.0	1,511.0	6,286.0	6,107.0	5,968.0	6,044.0	6,044.0
COGS - MW	3,273.0	3,296.0	3,704.0	4,213.0	4,679.0	5,301.0	7,624.0	9,633.7	10,660.5	11,793.3	13,175.4	14,414.4	16,672.8	18,837.3	21,419.4	24,010.7	12,779.0	14,486.0	27,237.7	50,043.6	80,940.2
Gross Profit - GAAP	10,145.0	10,197.0	10,703.0	12,249.0	13,157.0	15,415.0	20,456.0	23,677.7	25,121.9	26,679.0	28,964.4	31,019.2	33,812.1	37,800.6	42,569.7	47,360.0	32,509.0	43,294.0	72,705.7	111,784.5	161,542.4
Gross Margin	68.0%	68.0%	67.1%	68.0%	68.1%	69.5%	69.1%	68.0%	67.4%	66.7%	66.4%	66.1%	65.0%	65.0%	65.0%	65.0%	63.0%	67.8%	68.6%	66.6%	65.0%
Gross Profit - MW	11,643.0	11,708.0	12,248.0	13,802.0	14,632.0	16,886.0	21,967.0	25,188.7	26,632.9	28,190.0	30,475.4	32,530.2	35,323.1	39,311.6	44,080.7	48,871.0	38,795.0	49,401.0	78,673.7	117,828.5	167,586.4
Gross Margin - MW	78.1%	78.0%	76.8%	76.6%	75.8%	76.1%	74.2%	72.3%	71.4%	70.5%	69.8%	69.3%	67.9%	67.6%	67.3%	67.1%	75.2%	77.3%	74.3%	70.2%	67.4%
R&D - GAAP	2,253.0	2,693.0	3,050.0	2,981.0	2,965.0	2,995.0	2,895.0	2,907.7	2,908.9	2,958.8	3,055.6	3,051.4	3,379.7	3,721.5	4,126.5	4,591.6	9,310.0	10,977.0	11,762.7	11,974.6	15,819.3
% of Revs.	15.1%	17.9%	19.1%	16.5%	15.4%	13.5%	9.8%	8.4%	7.8%	7.4%	7.0%	6.5%	6.5%	6.4%	6.3%	6.3%	18.1%	17.2%	11.1%	7.1%	6.4%
One-time Items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	3.0	-	-	-	-
R&D - MW	2,253.0	2,693.0	3,050.0	2,981.0	2,965.0	2,995.0	2,895.0	2,907.7	2,908.9	2,958.8	3,055.6	3,051.4	3,379.7	3,721.5	4,126.5	4,591.6	9,307.0	10,977.0	11,762.7	11,974.6	15,819.3
% of Revs.	15.1%	17.9%	19.1%	16.5%	15.4%	13.5%	9.8%	8.4%	7.8%	7.4%	7.0%	6.5%	6.5%	6.4%	6.3%	6.3%	18.0%	17.2%	11.1%	7.1%	6.4%
SG&A	949.0	1,083.0	1,072.0	1,107.0	1,019.0	1,055.0	996.0	1,044.7	932.3	999.6	873.0	938.9	1,039.9	1,163.0	1,310.0	1,457.6	4,959.0	4,211.0	4,114.7	3,743.8	4,970.5
% of Revs.	6.4%	7.2%	6.7%	6.1%	5.3%	4.8%	3.4%	3.0%	2.5%	2.5%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	9.6%	6.6%	3.9%	2.2%	2.0%
Other OpEx - GAAP	683.0	592.0	694.0	653.0	610.0	577.0	610.0	507.0	507.0	507.0	507.0	507.0	507.0	507.0	507.0	507.0	4,777.0	2,622.0	2,304.0	2,028.0	2,028.0
Operating Expenses	3,885.0	4,368.0	4,816.0	4,741.0	4,594.0	4,627.0	4,501.0	4,459.4	4,348.2	4,465.3	4,435.6	4,497.3	4,926.7	5,391.5	5,943.5	6,556.2	19,046.0	17,810.0	18,181.4	17,746.4	22,817.8
Operating Income	6,260.0	5,829.0	5,887.0	7,508.0	8,563.0	10,788.0	15,955.0	19,218.4	20,773.7	22,213.7	24,528.9	26,521.9	28,885.5	32,409.1	36,626.2	40,803.8	13,463.0	25,484.0	54,524.4	94,038.1	138,724.5
Operating Margin %	42.0%	38.8%	36.9%	41.7%	44.3%	48.6%	53.9%	55.2%	55.7%	55.6%	56.2%	56.5%	55.6%	55.7%	55.9%	56.0%	26.1%	39.9%	51.5%	56.0%	55.8%
Total Interest Income (net) and Other Income	(770.0)	(744.0)	(602.0)	(639.0)	(368.0)	(658.0)	(680.0)	(680.0)	(680.0)	(680.0)	(680.0)	(680.0)	(680.0)	(680.0)	(680.0)	(680.0)	(3,547.0)	(2,755.0)	(2,386.0)	(2,720.0)	(2,720.0)
PBT	5,490.0	5,085.0	5,285.0	6,869.0	8,195.0	10,130.0	15,275.0	18,538.4	20,093.7	21,533.7	23,848.9	25,841.9	28,205.5	31,729.1	35,946.2	40,123.8	9,916.0	22,729.0	52,138.4	91,318.1	136,004.5
Income Tax Expense (Benefit)	(13.0)	120.0	1,145.0	(1,649.0)	846.0	820.0	2,187.0	2,654.2	2,876.9	3,083.1	3,414.6	3,699.9	4,038.3	4,542.8	5,146.6	5,744.7	3,748.0	(397.0)	6,507.2	13,074.5	19,472.5
Effective tax rate %	-0.2%	2.4%	21.7%	-24.0%	10.3%	8.1%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	37.8%	-1.7%	12.5%	14.3%	14.3%
Income from continuing operations	5,503.0	4,965.0	4,140.0	8,518.0	7,349.0	9,310.0	13,088.0	15,884.2	17,216.8	18,450.6	20,434.3	22,142.0	24,167.2	27,186.2	30,799.6	34,379.1					
Income from discontinued operations, net of tax	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(273.0)	-	-	-	-
Net Income - GAAP	5,503.0	4,965.0	4,140.0	8,518.0	7,349.0	9,310.0	13,088.0	15,884.2	17,216.8	18,450.6	20,434.3	22,142.0	24,167.2	27,186.2	30,799.6	34,379.1	5,895.0	23,126.0	45,631.2	78,243.6	116,532.1
Adjusted Net Income as Reported	5,503.0	4,965.0	4,140.0	8,518.0	7,349.0	9,310.0	13,088.0	15,884.2	17,216.8	18,450.6	20,434.3	22,142.0	24,167.2	27,186.2	30,799.6	34,379.1	5,895.0	23,126.0	45,631.2	78,243.6	116,532.1
Net income (loss) attributable to noncontrolling interest GAAP	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net income (loss) attributable to ordinary shares GAAP	5,503.0	4,965.0	4,140.0	8,518.0	7,349.0	9,310.0	13,088.0	15,884.2	17,216.8	18,450.6	20,434.3	22,142.0	24,167.2	27,186.2	30,799.6	34,379.1	5,895.0	23,126.0	45,631.2	78,243.6	116,532.1
Extraordinary Items	1,040.0	1,051.0	1,942.0	(999.0)	660.0	672.0	1,265.0	1,065.2	1,010.3	959.5	877.8	807.5	724.0	599.7	450.9	303.4	11,895.0	3,034.0	3,662.2	3,655.1	2,078.0
Net Income - MW	6,543.0	6,016.0	6,082.0	7,519.0	8,009.0	9,982.0	14,353.0	16,949.4	18,227.1	19,410.1	21,312.1	22,949.4	24,891.2	27,785.9	31,250.4	34,682.5	18,063.0	26,160.0	49,293.4	81,898.7	118,610.1
EPS - GAAP	\$ 1.14	\$ 1.03	\$ 0.85	\$ 1.74	\$ 1.50	\$ 1.91	\$ 2.68	\$ 3.25	\$ 3.52	\$ 3.76	\$ 4.16	\$ 4.51	\$ 4.92	\$ 5.52	\$ 6.25	\$ 6.97	\$ 1.24	\$ 4.77	\$ 9.34	\$ 15.95	\$ 23.66
EPS - non GAAP	\$ 1.60	\$ 1.58	\$ 1.69	\$ 1.95	\$ 2.05	\$ 2.44	\$ 3.32	\$ 3.85	\$ 4.11	\$ 4.35	\$ 4.74	\$ 5.07	\$ 5.47	\$ 6.06	\$ 6.76	\$ 7.46	\$ 4.86	\$ 6.82	\$ 11.66	\$ 18.27	\$ 25.74
EPS - MW	\$ 1.35	\$ 1.25	\$ 1.25	\$ 1.54	\$ 1.64	\$ 2.05	\$ 2.94	\$ 3.46	\$ 3.72	\$ 3.96	\$ 4.34	\$ 4.67	\$ 5.06	\$ 5.65	\$ 6.34	\$ 7.03	\$ 3.81	\$ 5.39	\$ 10.09	\$ 16.70	\$ 24.09

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: Broadcom: Projected Balance Sheet

Broadcom Inc. Balance Sheet (\$ in millions; fiscal year ends in Oct)	Jan-26	Apr-26	Jul-26	Oct-26	Jan-27	Apr-27	Jul-27	Oct-27	Jan-28	Apr-28	Jul-28	Oct-28					
	1FQ2026A	2FQ2026A	3FQ2026A	4FQ2026E	1FQ2027E	2FQ2027E	3FQ2027E	4FQ2027E	1FQ2028E	2FQ2028E	3FQ2028E	4FQ2028E	2024FYA	2025FYA	2026FYE	2027FYE	2028FYE
Assets																	
Cash and cash equivalents	\$ 14,174.0	\$ 19,628.0	\$ 23,975.0	\$ 31,596.3	\$ 46,176.3	\$ 59,049.5	\$ 73,134.6	\$ 89,177.0	\$ 105,345.3	\$ 123,477.6	\$ 144,175.2	\$ 168,300.8	\$ 9,348.0	\$ 16,178.0	\$ 31,596.3	\$ 89,177.0	#####
Short-term marketable securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivables, net	8,460.0	10,830.0	13,707.0	16,130.3	12,260.9	13,145.2	14,350.9	15,433.8	17,094.5	19,117.4	21,534.3	23,961.1	4,416.0	7,145.0	16,130.3	15,433.8	23,961.1
Inventory	2,962.0	4,328.0	4,523.0	5,699.6	7,827.5	8,659.2	9,674.0	10,583.7	12,241.9	13,831.2	15,727.1	17,629.8	1,760.0	2,270.0	5,699.6	10,583.7	17,629.8
Other current assets	6,466.0	7,427.0	9,968.0	11,730.3	12,562.6	13,468.7	14,704.2	15,813.7	17,515.3	19,588.0	22,064.3	24,550.9	4,071.0	5,980.0	11,730.3	15,813.7	24,550.9
Total Current Assets	32,062.0	42,213.0	52,173.0	65,156.5	78,827.3	94,322.7	111,863.7	131,008.3	152,197.0	176,014.1	203,500.9	234,442.6	19,595.0	31,573.0	65,156.5	131,008.3	234,442.6
Property, plant and equipment,	2,599.0	2,788.0	3,144.0	4,365.9	4,940.8	5,569.4	6,271.5	7,039.3	7,908.3	8,900.2	10,039.2	11,325.9	2,521.0	2,530.0	4,365.9	7,039.3	11,325.9
Goodwill	97,801.0	97,801.0	97,801.0	97,801.0	97,801.0	97,801.0	97,801.0	97,801.0	97,801.0	97,801.0	97,801.0	97,801.0	97,873.0	97,801.0	97,801.0	97,801.0	97,801.0
Intangible assets, net	30,302.0	28,333.0	26,325.0	24,283.0	22,591.0	20,899.0	19,207.0	17,515.0	16,173.0	14,831.0	13,489.0	12,147.0	40,583.0	32,273.0	24,283.0	17,515.0	12,147.0
Other assets	7,139.0	8,023.0	8,705.0	8,705.0	8,705.0	8,705.0	8,705.0	8,705.0	8,705.0	8,705.0	8,705.0	8,705.0	5,073.0	6,915.0	8,705.0	8,705.0	8,705.0
Total Assets	169,903.0	179,158.0	188,148.0	200,311.4	212,865.1	227,297.1	243,848.1	262,068.6	282,784.3	306,251.4	333,535.1	364,421.5	165,645.0	171,092.0	200,311.4	262,068.6	364,421.5
Liabilities & Shareholders' Equity																	
Accounts payable	2,112.0	2,337.0	4,000.0	5,040.6	4,673.1	5,169.7	5,775.5	6,318.6	7,308.6	8,257.4	9,389.3	10,525.2	1,662.0	1,560.0	5,040.6	6,318.6	10,525.2
Employee Compensation and B	864.0	1,134.0	1,506.0	1,506.0	1,506.0	1,506.0	1,506.0	1,506.0	1,506.0	1,506.0	1,506.0	1,506.0	1,971.0	2,129.0	1,506.0	1,506.0	1,506.0
Accrued and other liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Capital Lease obligations - curr	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current liabilities	11,631.0	13,139.0	13,080.0	12,426.0	11,804.7	11,214.5	10,653.7	10,121.1	9,615.0	9,134.3	8,677.5	8,243.7	11,793.0	11,673.0	12,426.0	10,121.1	8,243.7
Current portion of long-term det	2,252.0	2,252.0	2,252.0	1,755.7	1,695.7	1,635.7	1,575.7	1,515.7	1,455.7	1,395.7	1,335.7	1,275.7	1,271.0	3,152.0	1,755.7	1,515.7	1,275.7
Total Current Liabilities	16,859.0	18,862.0	20,838.0	20,728.3	19,679.5	19,525.8	19,510.9	19,461.4	19,885.3	20,293.4	20,908.6	21,550.6	16,697.0	18,514.0	20,728.3	19,461.4	21,550.6
Long-term debt	63,805.0	62,655.0	57,167.0	55,167.0	53,167.0	51,167.0	49,167.0	47,167.0	45,167.0	43,167.0	41,167.0	39,167.0	66,295.0	61,984.0	55,167.0	47,167.0	39,167.0
Dividends	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Capital Lease obligations - non-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other long-term liabilities	9,367.0	9,950.0	10,453.0	10,453.0	10,453.0	10,453.0	10,453.0	10,453.0	10,453.0	10,453.0	10,453.0	10,453.0	14,975.0	9,302.0	10,453.0	10,453.0	10,453.0
Shareholders' Equity	79,872.0	87,691.0	99,690.0	113,963.1	129,565.6	146,151.3	164,717.2	184,987.2	207,279.0	232,338.0	261,006.6	293,250.9	67,678.0	81,292.0	113,963.1	184,987.2	293,250.9
Total Liabilities & Equity	169,903.0	179,158.0	188,148.0	200,311.4	212,865.1	227,297.1	243,848.1	262,068.6	282,784.3	306,251.4	333,535.1	364,421.5	165,645.0	171,092.0	200,311.4	262,068.6	364,421.5
Check	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: Broadcom: Projected Cash Flow Statement



Avago Technologies Ltd.

Broadcom Inc. Statement of Cash Flows (Non Cumulative)												
(\$ in millions; fiscal year ends in October)												
	Jan-26	Apr-26	Jul-26	Oct-26	Jan-27	Apr-27	Jul-27	Oct-27	Jan-28	Apr-28	Jul-28	Oct-28
	1FQ2026A	2FQ2026A	3FQ2026A	4FQ2026E	1FQ2027E	2FQ2027E	3FQ2027E	4FQ2027E	1FQ2028E	2FQ2028E	3FQ2028E	4FQ2028E
Cash flows provided by (used for) operating activities:												
Net income	\$ 7,349.0	\$ 9,310.0	\$ 13,088.0	\$ 15,884.2	\$ 17,216.8	\$ 18,450.6	\$ 20,434.3	\$ 22,142.0	\$ 24,167.2	\$ 27,186.2	\$ 30,799.6	\$ 34,379.1
Adjustments to												
Amortization of intangible and ROU assets	2,003.0	2,002.0	2,042.0	2,042.0	1,692.0	1,692.0	1,692.0	1,692.0	1,342.0	1,342.0	1,342.0	1,342.0
Depreciation	150.0	163.0	171.0	171.0	171.0	171.0	171.0	171.0	171.0	171.0	171.0	171.0
Loss on extinguishment of debt	-	-	-	-	-	-	-	-	-	-	-	-
Gain/Loss on disposal of PP&E	-	-	-	-	-	-	-	-	-	-	-	-
Stock-based compensation expense	2,176.0	2,092.0	2,019.0	2,019.0	2,019.0	2,019.0	2,019.0	2,019.0	2,019.0	2,019.0	2,019.0	2,019.0
Excess tax benefit on stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-
Other operating activities	(313.0)	(502.0)	160.0	160.0	160.0	160.0	160.0	160.0	160.0	160.0	160.0	160.0
Changes in current assets and liabilities:												
Accounts receivable	(1,315.0)	(2,370.0)	(2,859.0)	(2,423.3)	3,869.4	(884.3)	(1,205.8)	(1,082.9)	(1,660.7)	(2,022.9)	(2,416.9)	(2,426.8)
Inventory	(692.0)	(1,366.0)	(195.0)	(1,176.6)	(2,127.8)	(831.7)	(1,014.8)	(909.8)	(1,658.2)	(1,589.3)	(1,896.0)	(1,902.6)
Accounts payable	534.0	149.0	1,630.0	1,040.6	(367.5)	496.6	605.8	543.1	990.0	948.8	1,131.9	1,135.9
Employee compensation and benefits	(1,261.0)	270.0	372.0	-	-	-	-	-	-	-	-	-
Other current assets and current liabilities	(692.0)	474.0	(2,675.0)	(2,416.3)	(1,453.7)	(1,496.3)	(1,796.2)	(1,642.2)	(2,207.6)	(2,553.4)	(2,933.1)	(2,920.5)
Other long-term assets and long-term liabilities	321.0	271.0	444.0	-	-	-	-	-	-	-	-	-
Net cash provided by operating activities	8,260.0	10,493.0	14,197.0	15,300.5	21,179.2	19,776.7	21,065.5	23,092.2	23,322.6	25,661.5	28,377.6	31,957.1
Cash flows from investing activities:												
Acquisition of property and equipment	(250.0)	(231.0)	(532.0)	(1,392.9)	(745.9)	(799.7)	(873.0)	(938.9)	(1,039.9)	(1,163.0)	(1,310.0)	(1,457.6)
Acquisitions and investments, net	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of property and equipment	-	-	-	-	-	-	-	-	-	-	-	-
Acquisition of intangible assets	-	-	-	-	-	-	-	-	-	-	-	-
Other investing activities	135.0	23.0	(581.0)	(581.0)	(581.0)	(581.0)	(581.0)	(581.0)	(581.0)	(581.0)	(581.0)	(581.0)
Net cash used for investing activities	(115.0)	(208.0)	(1,113.0)	(1,973.9)	(1,326.9)	(1,380.7)	(1,454.0)	(1,519.9)	(1,620.9)	(1,744.0)	(1,891.0)	(2,038.6)
Cash flows from financing activities:												
Payments on (Proceeds from) debt, net	824.0	(1,250.0)	(5,628.0)	(2,496.3)	(2,060.0)	(2,060.0)	(2,060.0)	(2,060.0)	(2,060.0)	(2,060.0)	(2,060.0)	(2,060.0)
Payment on capital lease obligation	-	-	-	-	-	-	-	-	-	-	-	-
Issuance of ordinary stock	-	-	-	-	-	-	-	-	-	-	-	-
Excess tax benefit on share-based compensation	-	-	-	-	-	-	-	-	-	-	-	-
Payments to repurchase stock	-	-	-	-	-	-	-	-	-	-	-	-
Dividend payments to shareholders	(3,086.0)	(3,092.0)	(3,103.0)	(3,209.1)	(3,212.3)	(3,462.9)	(3,466.4)	(3,469.9)	(3,473.4)	(3,725.3)	(3,729.0)	(3,732.8)
Other financing activities	(7,887.0)	(489.0)	(6.0)	-	-	-	-	-	-	-	-	-
Net cash used for financing activities	(10,149.0)	(4,831.0)	(8,737.0)	(5,705.4)	(5,272.3)	(5,522.9)	(5,526.4)	(5,529.9)	(5,533.4)	(5,785.3)	(5,789.0)	(5,792.8)
Effect of exchange rate changes on cash	-	-	-	-	-	-	-	-	-	-	-	-
Cash and cash equivalents, beginning of period	16,178.0	14,174.0	19,628.0	23,975.0	31,596.3	46,176.3	59,049.5	73,134.6	89,177.0	105,345.3	123,477.6	144,175.2
Change in cash flow due to restatement	(2,004.0)	5,454.0	4,347.0	7,621.3	14,580.1	12,873.2	14,085.0	16,042.4	16,168.3	18,132.3	20,697.6	24,125.7
Net increase (decrease) in cash and cash equivalents	(2,004.0)	5,454.0	4,347.0	7,621.3	14,580.1	12,873.2	14,085.0	16,042.4	16,168.3	18,132.3	20,697.6	24,125.7
Cash and cash equivalents, end of period	14,174.0	19,628.0	23,975.0	31,596.3	46,176.3	59,049.5	73,134.6	89,177.0	105,345.3	123,477.6	144,175.2	168,300.8
vs. Balance Sheet	14,174.0	19,628.0	23,975.0	31,596.3	46,176.3	59,049.5	73,134.6	89,177.0	105,345.3	123,477.6	144,175.2	168,300.8
Check	-	-	-	-	-	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates

Valuation Methodology and Risks

NVIDIA Corp. (NVDA.O)

~20 our MW CY27 EPS estimate of \$15.01, in-line with the broader market and a discount to compute semis peers (AMD/AVGO/INTC) as high marketshare and gross margins leave limited levers for multiple expansion in the near term.

Risks to Upside

- Growth in inference and training propel data center revenue
- Gaming sales accelerate as GPU based AI PCs gain traction
- Nvidia can recapture lost revenue in China

Risks to Downside

- AI end markets don't materialize as expected, customers sharply reduce GPU purchases
- AMD reemerges as a viable GPU competitor
- Cloud customers outside of Google are able to develop competitive custom hardware

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of August 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

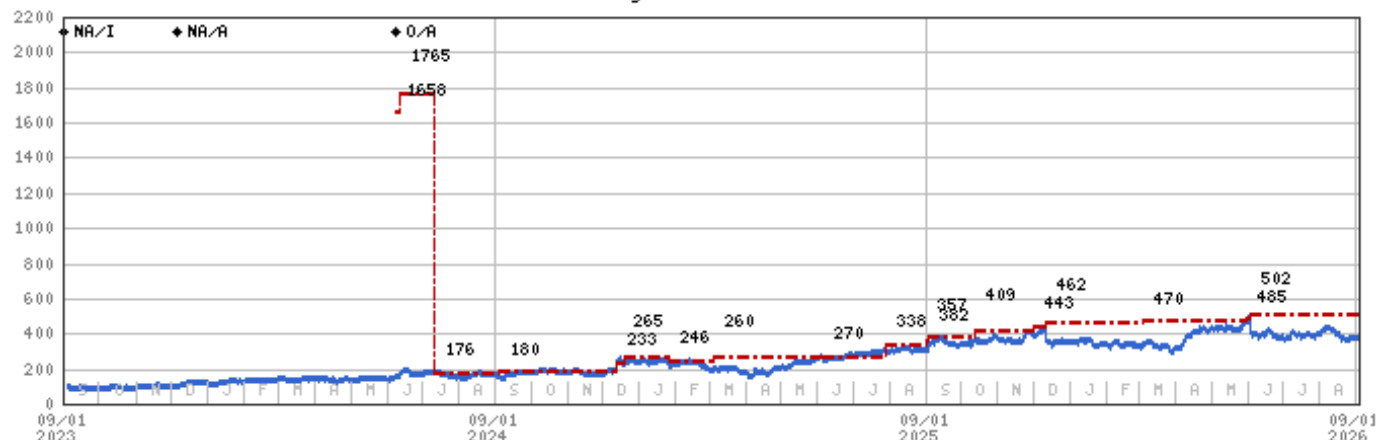
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Broadcom Inc. (AVGO.0) - As of 09/03/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 9/1/21 : O/I; 5/26/22 : NA/I; 10/10/22 : NA/I; 11/7/22 : NA/I; 12/7/23 : NA/A; 6/9/24 : O/A

Price Target History: 6/4/21 : 555; 9/2/21 : 572; 12/10/21 : 723; 3/3/22 : 703; 5/26/22 : NA; 10/10/22 : NA; 11/7/22 : NA;

6/9/24 : 1658; 6/12/24 : 1765; 7/12/24 : 176; 9/5/24 : 180; 12/13/24 : 233; 12/19/24 : 265; 1/27/25 : 246; 3/6/25 : 260;

6/6/25 : 270; 7/29/25 : 338; 9/1/25 : 357; 9/4/25 : 382; 10/13/25 : 409; 12/1/25 : 443; 12/12/25 : 462; 3/5/26 : 470; 5/31/26 : 485;

6/3/26 : 502

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

NVIDIA Corp. (NVDA.O) - As of 09/03/26 GMT in USD

Industry : Semiconductors



Stock Rating History: 9/1/21 : NA/I; 5/3/22 : E/I; 3/16/23 : O/I; 12/7/23 : O/A

Price Target History: 9/13/20 : NA; 5/3/22 : 21.7; 5/25/22 : 18.2; 11/17/22 : 17.5; 2/21/23 : 24.6; 2/22/23 : 25.5; 3/16/23 : 30.4; 5/24/23 : 45; 6/15/23 : 50; 8/24/23 : 63; 10/17/23 : 60; 11/21/23 : 60.3; 2/6/24 : 75; 2/21/24 : 79.5; 4/9/24 : 100; 5/22/24 : 116; 6/30/24 : 144; 8/29/24 : 150; 11/10/24 : 160; 11/21/24 : 168; 12/19/24 : 166; 1/29/25 : 152; 2/26/25 : 162; 4/25/25 : 160; 5/29/25 : 170; 7/29/25 : 200; 8/18/25 : 206; 8/28/25 : 210; 11/14/25 : 220; 11/20/25 : 235; 12/1/25 : 250; 2/26/26 : 260; 5/18/26 : 285; 5/21/26 : 288; 8/27/26 : 300

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/02/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$457.06
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$15.17
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$35.47
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$67.14
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$47.17
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$355.71
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$274.13
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$367.24
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$184.52
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$43.97
Intel Corporation (INTC.O)	E (02/22/2023)	\$90.05
IonQ Inc (IONQ.N)	E (04/25/2023)	\$37.64
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$206.48
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$72.76
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$956.08
Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	\$11.21
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$224.41
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$228.50
ON Semiconductor Corp. (ON.O)	++	\$72.34
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$100.63
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$169.96
Quantinuum (QNT.O)	E (06/29/2026)	\$48.00
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,553.40
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$133.85
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$220.23
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$71.67
Texas Instruments (TXN.O)	U (04/13/2020)	\$254.80

Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$26.65
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$234.86
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$306.67
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$415.97

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